

Pan Africa Insurance Holdings Limited

Audited Group Financial Results for the year ended 31 December 2012



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Pan Africa Insurance Holdings Limited - Group Abridged Audited Group Financial Statement for the year ended 31 December 2012

Group Statement of Comprehensive Income

	31 Dec 2012	31 Dec 2011
	KShs'000	KShs'000
Gross written premium	5,440,554	3,648,492
Outward reinsurance premium	(115,020)	(348,437)
Net written premium	5,125,434	3,100,055
Investment income	1,244,574	697,015
Fair value gains/(losses)	479,863	(895,668)
Fee and commissions earned	75,866	84,589
Other operating income (including property)	194,904	1,055,534
Other revenue	1,795,287	941,476
Cost of sales	(1,038,441)	(434,125)
Gross benefits and claims paid	(1,674,761)	(1,408,415)
Reinsurers' share of claims	174,333	154,142
Net change in contract liabilities	(4,020,967)	(622,202)
Net claims and policyholders benefits	(5,121,195)	(3,616,495)
Cost of sales	(40,210)	(390,711)
Commission payable	(669,878)	(690,340)
Operating and other expenses	(856,582)	(733,046)
Total benefits, claims and other expenses	(7,087,855)	(5,890,608)
Profit before share of profit of associate	833,976	550,917
Share of profit of associate	1,670	1,518
Profit before tax	834,646	552,435
Income tax expense	(136,375)	(109,030)
Profit for the year after tax	698,271	443,405
Other comprehensive income	-	-
Fair value gain on property and equipment, net of tax	-	-
Other comprehensive income net of tax	-	-
Other comprehensive income for the period	-	-
Total profit and other comprehensive income	698,271	443,405
Profit attributable to:		
Equity holders	698,271	443,405
Earnings per share:		
Basic	7.27	4.62
Diluted	7.27	4.62
Share used in calculating earnings per share	96,000,000	96,000,000

Group Statement of Financial Position

	31 Dec 2012	31 Dec 2011
	KShs'000	KShs'000
CAPITAL AND RESERVES		
Share capital	480,000	480,000
Share premium	124,431	124,431
Statutory reserve	852,157	525,387
Retained earnings	1,172,323	992,822
Total capital and reserves	2,628,911	2,122,640
ASSETS		
Intangible assets	104,142	43,950
Property and equipment	96,646	80,156
Investment properties	820,000	766,618
Land and development (Inventory)	106,280	91,584
Investment in associate	13,831	12,161
Financial instruments:		
Loans	964,427	793,082
Held to maturity financial assets	4,078,995	2,453,528
Available for sale financial assets	3,827	3,827
Fair value through profit or loss financial assets	5,038,609	3,449,297
Reinsurance asset	197,348	176,052
Insurance receivables	186,773	151,630
Income tax receivables	53,784	14,628
Receivable and other financial assets	355,851	436,346
Deposits in financial institutions	4,169,370	2,807,818
Cash and bank balances	283,639	233,180
Total assets	16,473,522	11,513,857
LIABILITIES		
Insurance contract liabilities	5,221,365	3,469,504
Market linked insurance liabilities	6,580,701	4,390,298
Payable under deposit administration contracts	1,071,633	681,547
Provisions	41,676	56,813
Current tax liabilities	38,399	87,060
Insurance payables	255,177	270,341
Payables and other charges	335,460	434,754
Total liabilities	13,944,611	9,391,217

Group Statement of Changes in Equity

	31 Dec 2012	31 Dec 2011
	KShs'000	KShs'000
Share capital and share premium	604,431	604,431
Opening reserves	1,518,209	1,228,090
Income attributable to shareholders	698,271	443,405
Transfer to deposit administration	-	(9,286)
Dividends paid	(192,000)	(144,000)
Balance at end of the year	2,628,911	2,122,640

Abridged Statement of Cash Flows

	31 Dec 2012	31 Dec 2011
	KShs'000	KShs'000
Cash flow from operating activities	3,111,093	1,009,130
Cash (utilised in)/ generated from investing activities	(1,507,082)	660,061
Cash flows utilised in financing activities	(192,000)	(176,912)
Net increase in cash resources	1,412,011	1,392,279
Cash resources at the beginning of the year	3,040,998	1,648,719
Cash resources at the end of the year	4,453,009	3,040,998

Report of the Independent Auditors to the shareholders of Pan Africa Insurance Holdings Limited

Report on the Financial Statements

We have audited the accompanying financial statements of Pan Africa Insurance Holdings Limited (the Company) and of its subsidiaries (the Group), which comprise the consolidated and company statement of financial position as at 31 December 2012, the consolidated and company income statement, statement of comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory information as set out in the financial statements.

Directors' Responsibility for the Financial Statements

The directors of the Company and Group are responsible for the preparation and fair presentation of these financial statements in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditors' Responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the directors, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the financial statements present fairly, in all material respects, the financial position of the Company and the Group as at 31 December 2012, and of the Company's and Group's financial performance and cash flows for the year then ended, in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act.

Report on Other Legal and Regulatory Requirements

As required by the Kenyan Companies Act, we report to you, based on our audit, that:

- We have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit;
- In our opinion proper books of account have been kept by the Company and the Group, so far as appears from our examination of those books; and
- Company's and Group's statements of financial position, income statements and statements of comprehensive income are in agreement with the books of account.

Ernst & Young
Nairobi
5 April 2013

NOTICE OF THE ANNUAL GENERAL MEETING

NOTICE IS HEREBY GIVEN that the 67th Annual General Meeting of the Company will be held at the Tsavo Room, Hilton Hotel, Mama Ngila Street Nairobi on Friday, 17 May 2013 at 10.00 am to conduct the following business:

- To table the proxies and note the presence of a quorum.
 - To read the Notice convening the meeting.
 - To confirm the minutes of the previous Annual General Meeting held on 16 May 2012.
 - To consider, and if approved, adopt the Balance Sheet and Account for the year ended 31 December 2012 together with the reports of the Chairman, the Chief Executive, the Directors, the Auditors and the Statutory Actuary.
 - To declare a dividend of KShs 3 per share for the financial year ended 31 December 2012 and approve the closure of the register of Members on 20 May 2013 to 3 June 2013.
 - To elect directors:
- Mr James Gitohi, retires by rotation in accordance with the Company's Articles of Association and he offers himself for re-election.
 - Ms Susan Mudhune, retires by rotation in accordance with the Company's Articles of Association and she offers herself for re-election.
 - Bhekithemba Thabo Gamedze, who was appointed a director on 21 August 2012, retires this being the first Annual General Meeting to be held since his appointment and being eligible, offers himself for re-election.
- To approve the Directors' remuneration.
 - To note that the auditors, Ernst & Young, will continue in office in accordance with Section 159(2) of the Companies Act (Cap 486) and to authorise the Directors to fix their remuneration.
 - To transact any other business with the permission of the Chair in which 48 hours notice had been given to the Company Secretary at the registered office of the Company.

By Order of the Board
Company Secretary

Date: 19 February 2013

Note:

- A member entitled to attend and vote at the meeting and who is unable to attend is entitled to appoint a proxy to attend and vote on his behalf. A proxy need not be a member of the Company. To be valid a proxy form, which is attached to the end of this report, must be completed and signed by the member and must be lodged at the offices of the Company's Share Registrars, Image Registrars Limited, 8th Floor Transnational Plaza, Mama Ngila Street, P.O. Box 928 00100, Nairobi or be posted, so as to reach not later than Wednesday, 15 May 2013 at 10.00 am.
- In accordance with the Company's Articles of Association, a copy of the entire Annual Report and Accounts will be available for viewing from the Company's website www.pan-africa.com or from the registered office of the Company, Pan Africa House, Kenyatta Avenue Nairobi or at the offices of the Company's Share Registrars, Image Registrars Limited, 8th Floor Transnational Plaza, Mama Ngila Street Nairobi. Abridged Audited Group financial statement for the year ended 31 December 2012 for the year ended 31 December 2012 has been published in two daily newspapers with nationwide circulation.

A MEMBER OF THE Sanlam GROUP